

Social Capital and Globalization in East Asia

Introduction.

Social capital can be understood as a network of relationships, shared norms, and trust that enables individuals and organizations to function effectively. While often defined in organizational terms - as the relationships, reputations, and assets that facilitate efficient business processes - it extends far beyond the private sector. Social capital can be divided into three categories: 1) relational capital (connections between individuals), 2) cognitive capital (shared knowledge and values), and 3) structural capital (the systems and institutions that organize interaction).¹ When applied to the state, these dimensions become critical for governance, as strong social capital facilitates government responsiveness, enhances political participation, and improves voter mobilization. In particular, dense civic networks and high levels of interpersonal trust encourage collective action, thereby strengthening democratic accountability and effectiveness.

However, social capital is not static; it is shaped by broader structural forces such as globalization. As Inoguchi et al. argue, globalization can either reinforce or erode social capital depending on how it affects community cohesion and trust. More specifically, “if globalization strengthens social capital, establishing regional agreement and further economic development will be highly predictable,” whereas if it weakens social capital, regional integration becomes more fragile and unpredictable.² Building on this paper, it can be assumed that social capital plays a mediating role in East Asia; such that states with stronger networks of trust and civic engagement are better able to convert globalization into sustained economic development and

¹ Mask, Rick. “What Is Social Capital and Why Is It so Important?” *Snhu.edu*, 16 June 2025, www.snhu.edu/about-us/newsroom/career/what-is-social-capital.

² Inoguchi, Takashi, et al. *Social Capital in East Asia: Comparative Political Culture in Confucian Societies*. Routledge, 2007.

regional cooperation, while those with weaker social capital experience more uneven and less predictable outcomes. Therefore, in this paper I will further explore the extent to which strong social capital has enabled East Asian states to translate globalization into economic development and regional cooperation.

This research question is particularly relevant given that East Asian economies have been among the greatest beneficiaries of globalization. Rapid integration into global markets (facilitated by export-led growth strategies, high investment rates, and strong state coordination) has driven remarkable economic expansion across the region; however, these outcomes have not been uniform. While some states have translated globalization into sustained growth and regional cooperation, others have experienced structural weaknesses and uneven development. This variation suggests that globalization alone is insufficient to explain outcomes and instead, East Asian governments must seek to resolve internal, structural issues.³ This paper contends that differences in social capital - particularly levels of trust, civic engagement, and institutional coordination - help explain why some East Asian states have been more successful than others in leveraging globalization for economic development and regional integration.

Methods.

To empirically assess social capital, this paper draws on data from the World Values Survey (WVS), which provides cross-national measures of trust, civic engagement, and social norms through a common survey.⁴ This allows for a comparative analysis of social capital across East Asian societies - with an emphasis on China, Japan, South Korea, and Taiwan ROC - in the wave period of 2017-2022.

³ Greenwood, Lawrence. *CHAPTER 7 GLOBALIZATION and ECONOMIC DEVELOPMENT in EAST ASIA: A New Model for Development*.

⁴ World Values Survey. "WVS Database." *Wwww.worldvaluessurvey.org*, 2022, www.worldvaluessurvey.org/WVSOnline.jsp.

Following established approaches in the literature, social capital is operationalized through three key indicators: 1) interpersonal trust, 2) civic participation, and 3) norms of reciprocity. First, to measure interpersonal trust, I looked at answers for questions 58 to 63, or the “Trust” section (which ranges from “Trust: Your family” to “Trust: People of another nationality”). Second, when looking at civic participation, I analyzed replies for questions 94 to 105, or the “Active/Inactive membership” section (which ranges from “Active/inactive membership: Church or religious organization” to “Active/Inactive membership: other organization”). Finally, to gauge norms of reciprocity, I looked at responses for questions 177 to 181, or the “Justifiable” section (which ranges from “Justifiable: Claiming government benefits to which you are not entitled” to “Justifiable: Someone accepting a bribe in the course of their duties”).

Moreover, to determine the extent to which China, Japan, and South Korea are integrated into globalization, I will be using the KOF Swiss Economic Institute’s Globalisation Index.⁵ This index measures the economic, social, and political dimensions of globalization. It provides a composite score (1-100) for each “world”/country selected, which captures how integrated a country is in the global system using the measurements listed previously. To maintain consistency, I will also be looking at the years 2017-2022. However, due to limited availability of standardized globalization indices for Taiwan, this paper uses trade openness, and its subcategories (trade freedom, investment freedom, and financial freedom), from an alternative dataset - the Index of Economic Freedom - to ensure comparability across cases.

Results.

⁵ KOF Swiss Economic Institute. “KOF Globalisation Index.” *Ethz.ch*, 2025, kof.ethz.ch/en/forecasts-and-indicators/indicators/kof-globalisation-index.html.

Interpersonal Trust. When assessing the replies to questions 58 to 63, for all four countries, the degree of trust for the majority of participants decreased from “Trust completely” or “Trust somewhat” to “Do not trust very much” when a personal relationship was removed. The highest level of trust was provided when asked about the trustworthiness of family (see Figure 1 below), while the lowest level of trust was provided when asked about the trustworthiness of people respondents had met for the first time (see Figure 2 below). China had the largest percentage (85.0%) of respondents who chose the “Trust completely” option, while Japan had the lowest (70.3%) in regards to familial trust. Likewise, Japan had the largest percentage (21.4%) of respondents who chose the “Do not trust at all” option when providing their opinions of people they met for the first time.

	TOTAL	ISO 3166-1 numeric country code			
		China	Taiwan ROC	Japan	South Korea
Trust completely	80.3%	85.0%	79.7%	70.3%	80.2%
Trust somewhat	18.4%	14.1%	18.7%	27.1%	19.1%
Do not trust very much	0.8%	0.5%	1.6%	1.0%	0.6%
Do not trust at all	0.1%	0.1%	0.0%	0.2%	0.1%
Don't know	0.1%	-	-	0.4%	-
No answer	0.3%	0.3%	-	1.0%	-
(N)	(6,857)	(3,036)	(1,223)	(1,353)	(1,245)

Figure 1. Respondents were asked “Could you tell [the surveyor] for each whether you trust people from this group, completely, somewhat, not very much or not at all?” This was for the category of family. Altogether, China, Taiwan ROC, Japan, and South Korea had a 80.3% “Trust completely” response, and only a 0.1% “Do not trust at all” response.

	TOTAL	ISO 3166-1 numeric country code			
		China	Taiwan ROC	Japan	South Korea
Trust completely	0.8%	0.9%	1.2%	0.1%	1.1%
Trust somewhat	14.8%	12.5%	24.1%	10.3%	16.4%
Do not trust very much	62.0%	67.0%	65.8%	49.0%	60.1%
Do not trust at all	18.4%	19.2%	8.9%	21.4%	22.4%
Don't know	3.5%	-	-	17.7%	-
No answer	0.4%	0.3%	-	1.5%	-
Other missing; Multiple answers Mail (EVS)	0.0%	0.1%	-	-	-
(N)	(6,857)	(3,036)	(1,223)	(1,353)	(1,245)

Figure 2. Respondents were asked “Could you tell [the surveyor] for each whether you trust people from this group, completely, somewhat, not very much or not at all?” This was for the category of people whom respondents would first meet. Altogether, China, Taiwan ROC, Japan, and South Korea had a 62.0% “Do not trust very much” response and an 18.4% “Do not trust at all” response.

At the country level, Taiwan ROC exhibited relatively consistent levels of interpersonal trust across all categories. In the lowest-trust category (people met for the first time), Taiwan reported a combined 25.3% for “trust completely” and “trust somewhat,” compared to a 17.5% sum total in South Korea, with other countries falling beneath these values.

Civic Participation. I found that for all four countries, the degree of active membership across all different activities/organizations measured was extremely low (ranging from totals of 1.6% to 7.6% in questions 94 to 105). The highest rates of civic involvement were for sports or recreational organizations (football, baseball, or rugby team) at 7.6% (see figure 3 below) compared to a 2.2% active membership in political parties and a 2.7% in labor unions.

	TOTAL	ISO 3166-1 numeric country code			
		China	Taiwan ROC	Japan	South Korea
Don't belong	82.5%	91.9%	61.2%	83.1%	79.8%
Inactive member	9.5%	4.5%	22.5%	5.2%	13.4%
Active member	7.6%	3.2%	16.3%	10.3%	6.8%
No answer	0.4%	0.4%	-	1.3%	-
(N)	(6,857)	(3,036)	(1,223)	(1,353)	(1,245)

Figure 3. Respondents were asked “could you tell [the surveyor] whether you are a member, an active member, an inactive member, or not a member of that type of organization?” This was for the category of “sport or recreational organization, football/baseball/rugby team.” Altogether, China, Taiwan ROC, Japan, and South Korea had an 82.5% “Don’t belong” response and a 7.6% “Active member” response.

Similar to the section prior, at the country level, Taiwan ROC reported the highest levels of active membership in sports and recreational organizations (16.3%), while China reported the lowest (3.2%). This pattern is consistent across most of the 11 organization types surveyed, with Taiwan generally exhibiting higher rates of active involvement relative to the other countries. However, participation in political parties remained low across all cases (with Taiwan at 1.0%).

	TOTAL	ISO 3166-1 numeric country code			
		China	Taiwan ROC	Japan	South Korea
Not a member	90.6%	89.0%	85.5%	94.4%	95.5%
Inactive member	6.7%	7.3%	13.5%	3.0%	2.7%
Active member	2.2%	3.2%	1.0%	1.4%	1.8%
Don't know	0.0%	0.0%	-	-	-
No answer	0.4%	0.4%	-	1.3%	-
(N)	(6,857)	(3,036)	(1,223)	(1,353)	(1,245)

Figure 4. Respondents were asked “could you tell [the surveyor] whether you are a member, an active member, an inactive member, or not a member of that type of organization?” This was for the category of “political party.” Altogether, China, Taiwan ROC, Japan, and South Korea had a 90.6% “Don’t belong” response and a 2.2% “Active member” response.

Norms of Reciprocity. When analyzing what is justifiable with questions 177 to 181, I found that for all four countries, statements pertaining to corruption towards or within the

government were more likely to be justifiable. Although “claiming government benefits to which [respondents] are not entitled” had a total “Never justifiable” percentage of 38.6% (see Figure 5 below), “Stealing property” had a total of 80.1% (see Figure 6 below) and “Cheating on taxes” had a total of 71.4%.

Japan, though, had the highest rates of “Never justifiable” answers (i.e., 67.9% for Figure 1 and 94.8% for Figure 2); however, South Korea and Japan had the lowest rates of “Always justifiable” answers (i.e., 0.1% for Figure 1 and null for Figure 2). This pattern remained consistent across all the questions, with Japan showing higher levels of categorical rejection (“Never justifiable”) and South Korea showing minimal acceptance (“Always justifiable”) of these behaviors.

	TOTAL	ISO 3166-1 numeric country code			
		China	Taiwan ROC	Japan	South Korea
Never justifiable	38.6%	36.3%	32.7%	67.9%	18.3%
2	14.2%	11.3%	15.0%	12.1%	22.9%
3	13.9%	12.1%	17.7%	6.6%	22.6%
4	7.7%	7.9%	8.7%	1.9%	12.2%
5	10.7%	12.8%	14.5%	3.0%	10.3%
6	4.8%	5.8%	4.5%	0.9%	7.0%
7	3.6%	4.6%	3.0%	1.0%	4.7%
8	2.6%	4.0%	1.9%	0.7%	1.8%
9	0.7%	1.2%	0.5%	0.4%	0.2%
Always justifiable	2.1%	3.5%	1.5%	1.3%	0.1%
Don't know	0.6%	0.1%	-	2.7%	-
No answer	0.4%	0.3%	-	1.6%	-
(N)	(6,857)	(3,036)	(1,223)	(1,353)	(1,245)
Mean	2.98	3.37	3.06	1.76	3.24
Std Dev.	2.28	2.54	2.10	1.68	1.84
Base mean	(6,787)	(3,023)	(1,223)	(1,296)	(1,245)

Figure 5. Respondents were asked to “please tell [the surveyor] for each of the following statements whether you think it can always be justified, never be justified, or something in between, using this card.” This figure refers to “Claiming government benefits to which [the respondent is] not entitled.” Altogether, China, Taiwan ROC, Japan, and South Korea had a 38.6% “Never justifiable” response and a 2.1% “Always justifiable.”

	TOTAL	ISO 3166-1 numeric country code			
		China	Taiwan ROC	Japan	South Korea
Never justifiable	80.1%	86.4%	79.4%	94.8%	49.3%
2	9.6%	7.6%	9.4%	1.8%	23.0%
3	4.7%	3.2%	6.7%	0.5%	10.9%
4	1.5%	0.7%	1.4%	0.1%	5.1%
5	1.2%	0.6%	1.7%	0.1%	3.5%
6	0.8%	0.2%	0.4%	0.2%	3.2%
7	0.8%	0.3%	0.2%	0.1%	3.4%
8	0.3%	0.1%	0.3%	-	1.4%
9	0.0%	0.0%	0.1%	-	0.1%
Always justifiable	0.5%	0.8%	0.3%	0.6%	-
Don't know	0.1%	0.0%	-	0.3%	-
No answer	0.3%	0.2%	-	1.4%	-
(N)	(6,857)	(3,036)	(1,223)	(1,353)	(1,245)
Mean	1.45	1.29	1.43	1.11	2.21
Std Dev.	1.23	1.06	1.09	0.79	1.73
Base mean	(6,829)	(3,031)	(1,223)	(1,330)	(1,245)

Figure 6. Respondents were asked to “please tell [the surveyor] for each of the following statements whether you think it can always be justified, never be justified, or something in between, using this card.” This figure refers to “Stealing property.” Altogether, China, Taiwan ROC, Japan, and South Korea had an 80.1% “Never justifiable” response and a 0.5% “Always justifiable.”

Globalization Indices. According to the KOF Globalisation Index, Japan dropped from a score of 75.48 overall (both de jure and de facto) in 2017 to 73.0 in 2022. China rose slightly from a score of 62.68 overall in 2017 to 62.89 in 2022. Similarly, South Korea also rose from a score of 76.27 overall in 2017 to 78.25 in 2022. Outside of the 2017-2022 range, however, Japan and South Korea both had scores of about 74.7 in 2015, yet diverged thereafter - with Japan’s score decreasing and South Korea’s increasing (see figure 7 below).



Figure 7. KOF Globalisation Index of South Korea (green) and Japan (blue) from 1970 to 2023.

Due to limited coverage of Taiwan in the KOF Globalisation Index, comparable measures of economic globalization are drawn from an alternative indicator, particularly analyzing trade openness. Across the same period, Taiwan exhibited high levels of trade integration relative to the other cases, with exports and imports comprising a substantial share of its comprehensive economic activity. According to the Index of Economic Freedom’s “Open Markets” category, Taiwan’s “Trade Freedom” score minimally dropped from 86.2 in 2017 to 86.0 in 2022, rose in “Investment Freedom” from 65.0 in 2017 to 70.0 in 2022 (see Figure 8 below), and has remained at a score of 60.0 for Financial Freedom since 2014.⁶ Also, its economic freedom score overall has risen from 76.5 in 2017 to 80.1 in 2022. This places Taiwan alongside South Korea as one of the more globally integrated and “free” economies in the region in terms of external economic exposure.

⁶ The Heritage Foundation. “Index of Economic Freedom: Taiwan | the Heritage Foundation.” *Index of Economic Freedom* | the Heritage Foundation, 2026, economicfreedom.heritage.org/pages/country-pages/taiwan.

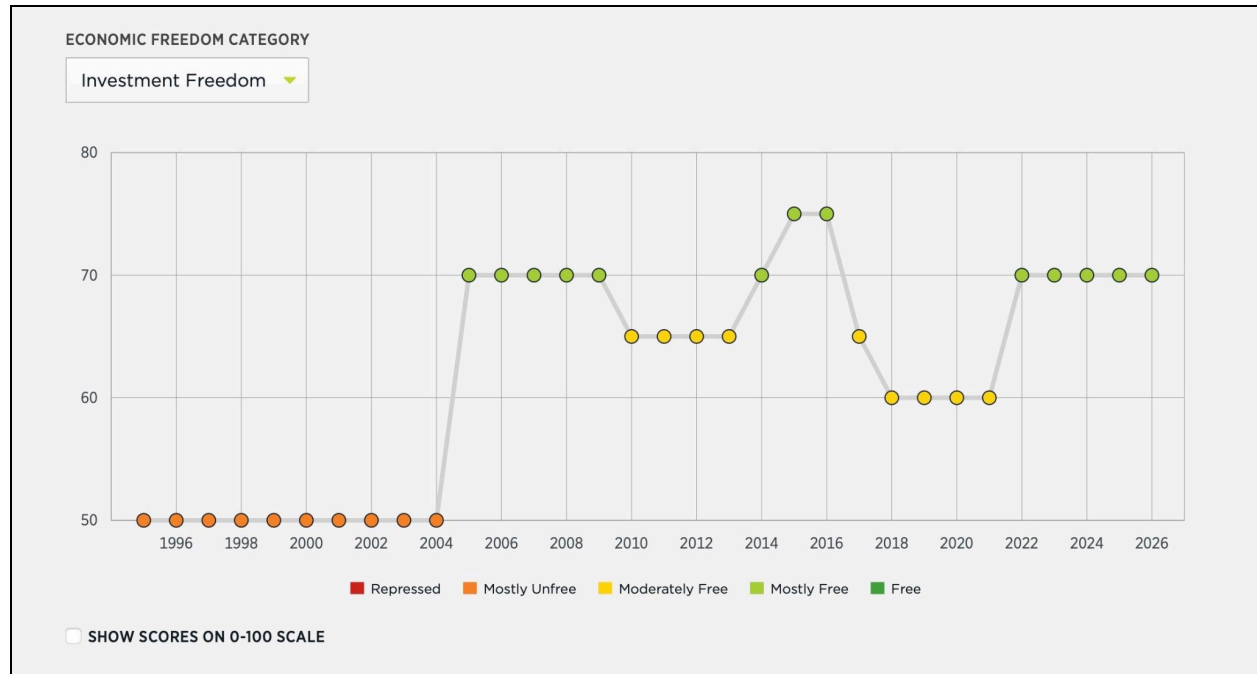


Figure 8. Index of Economic Freedom’s “Investment Freedom” scores in Taiwan from 1995 to 2026.

Discussion.

Based on the hypothesis, Taiwan’s relatively high level of integration into globalization is consistent with its high levels of interpersonal trust, and, to a lesser extent, its civic participation in non-political organizations (such as recreational activities). China’s lower scores across measures of social capital correspond with its more moderate level of globalization within the sample. Japan and South Korea both exhibit high levels of globalization, which is broadly consistent with their strong norms of reciprocity. However, while both countries display similar patterns across the three dimensions of social capital, their divergence in globalization scores - seen in Figure 7 - suggests that social capital alone does not fully account for variation in global integration across all cases.

My findings indicate a relationship between social capital and globalization - with states exhibiting higher levels of interpersonal trust and stronger norms of reciprocity tending to be more deeply integrated into the global system. However, this relationship appears less consistent

when examining civic participation, particularly in relation to political organizations and government entities, where the evidence does not show a clear association with levels of globalization. These results suggest that not all dimensions of social capital operate uniformly in relation to globalization in East Asia, and that interpersonal trust and norms of reciprocity may be more closely associated with global integration than formal civic participation. That said, this study complicates dominant theories of social capital that emphasize civic participation as a central mechanism of political and economic performance. In particular, while Robert Putnam emphasizes the importance of associational life for institutional effectiveness, the results from East Asia suggest that civic participation - especially in formal political organizations - is not strongly associated with levels of globalization.⁷ Instead, interpersonal trust and norms of reciprocity appear more closely aligned with global integration outcomes.

This pattern suggests that in the East Asian context, social capital may operate less through formal civic engagement and more through informal norms of trust and cooperation. Thus, East Asia may be displaying a moral-based, rather than participation-based model of social capital, translating into their globalization endeavors. Consequently, high levels of globalization in the region can coexist with relatively low levels of political participation, challenging assumptions that democratic-style civic engagement is a necessary condition for successful integration into the global economy. Rather than contradicting social capital theory outright, the findings indicate that its mechanisms may be context-dependent, with different dimensions of social capital playing different roles in East Asian development trajectories.

Variation in institutional context may provide one explanation for differences in how social capital manifests across East Asian cases. In particular, regime type and political structure

⁷ Putnam, Robert D. "The Prosperous Community: Social Capital and Public Life." *The American Prospect*, no. 13, 1993, pp. 35–42

may shape both the expression and measurement of civic participation and trust. For example, in more authoritarian contexts such as China, opportunities for formal civic engagement and participation in political organizations are more constrained, which may depress measured levels of civic participation regardless of underlying informal networks of trust. In contrast, democratic systems such as South Korea and Taiwan provide greater institutional space for associational life, though this does not necessarily translate into high levels of political organization membership in the WVS data.

One limitation of my study is its sensitivity of results to measurement choice. Social capital is operationalized here using survey-based indicators from the World Values Survey, which may capture expressed attitudes rather than actual behavioral practices. Equally, these surveys only reflect a specific sample of the population, and therefore may not be an accurate representation for the opinions of the majority - introducing an agent-principal dilemma. Similarly, globalization is measured via a different proxy from the other three countries in the case of Taiwan. However, the consistency of patterns across different indicators suggests that the findings are not driven solely by a single measurement approach. Interpersonal trust and norms of reciprocity remain more closely associated with globalization outcomes across both index-based and trade-based measures, while civic participation shows weaker and less consistent relationships across specifications.

If I were to continue my research, I would further examine how the relationship between social capital and globalization varies across different institutional contexts and over a longer time period. This would allow for a more precise understanding of whether the patterns identified in this paper remain stable beyond the cases and time frame analyzed here. By expanding the scope of the study, it would be possible to assess whether the observed association

between interpersonal trust, norms of reciprocity, and globalization is specific to the East Asian region or whether it holds more broadly across other regional and institutional contexts.

2797/2800 words.

19 hours of late work used | 17 hours remaining

Works Cited

- Mask, Rick. "What Is Social Capital and Why Is It so Important?" *Snhu.edu*, 16 June 2025, www.snhu.edu/about-us/newsroom/career/what-is-social-capital.
- Inoguchi, Takashi, et al. *Social Capital in East Asia: Comparative Political Culture in Confucian Societies*. Routledge, 2007.
- Greenwood, Lawrence. *CHAPTER 7 GLOBALIZATION and ECONOMIC DEVELOPMENT in EAST ASIA: A New Model for Development*.
- World Values Survey. "WVS Database." *Www.worldvaluessurvey.org*, 2022, www.worldvaluessurvey.org/WVSONline.jsp.
- KOF Swiss Economic Institute. "KOF Globalisation Index." *Ethz.ch*, 2025, kof.ethz.ch/en/forecasts-and-indicators/indicators/kof-globalisation-index.html.
- The Heritage Foundation. "Index of Economic Freedom: Taiwan | the Heritage Foundation." *Index of Economic Freedom | the Heritage Foundation*, 2026, economicfreedom.heritage.org/pages/country-pages/taiwan.
- Putnam, Robert D. "The Prosperous Community: Social Capital and Public Life." *The American Prospect*, no. 13, 1993, pp. 35–42